WAVERLEY GATEWAY GUIDE

Connecting International Capital

CANADA

North America

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Toronto and southern Ontario	Canada's financial and commercial capital, with major banks, pension funds and a large technology and manufacturing base	Financial services, technology and AI, automotive, life sciences
Alberta (Calgary, Edmonton, Bruderheim)	Centre of the oil and gas industry and home of the Major Projects Office; start point of the West Coast Oil Pipeline, designated a national-interest project in October 2026	Oil and gas, pipelines, petrochemicals, power
Northern British Columbia (Kitimat, Red Chris)	Pacific gateway to Asia; LNG Canada Phase 2 represents about C$33 billion of expected private capital, and the Red Chris mine expansion is also on the federal fast-track list	LNG, mining, ports, power transmission
Vancouver and Delta, British Columbia	Canada's largest port region and the planned terminus of the West Coast Oil Pipeline; Roberts Bank Terminal 2 has been proposed for national-interest listing	Ports and logistics, technology, film, energy exports
Montreal and Quebec	Major aerospace and AI centre with abundant hydropower; the Contrecoeur container terminal is on the federal fast-track list	Aerospace, AI, hydropower, ports
Bowmanville, Ontario (Darlington)	Site of Ontario Power Generation's Darlington New Nuclear Project, a federally referred project of national interest	Nuclear energy, small modular reactors, engineering
Saskatchewan and the North	Resource frontier including the McIlvenna Bay copper mine and the Mackenzie Valley Highway in the Northwest Territories	Critical minerals, potash, uranium, infrastructure

INVESTOR ENTRY ROUTES

- Invest in Canada, the federal investment promotion agency, now chaired by Dominic Barton with Gurinder Grewal as chief executive, has a stronger mandate to guide the largest foreign investors from interest to construction
- The Major Projects Office in Calgary, created in August 2025, coordinates approvals for nation-building projects, which can be listed as being in the national interest under the Building Canada Act

- Investment Canada Act: net-benefit review applies above C$2.179 billion enterprise value for trade-agreement investors and C$1.452 billion for other WTO investors in 2026, while national-security review can apply to any investment
- Budget 2026 introduced a C$36.1 billion Productivity Mega Deduction, expanding accelerated write-offs for new capital investment, and a Canada Growth Incentive for early-stage investment
- Floating Canadian dollar with no capital controls and free repatriation of profits
- Provincial investment agencies and incentive programmes, which complement federal support for projects in each province

MARKET-ENTRY OBSERVATION

Canada in November 2026 offers investors political stability, resource wealth and a determined push to build national infrastructure. Foreign direct investment reached C$96.8 billion in 2025, the highest annual total since 2007, led by US investors. The economy grew at an annualised 3.3% in the second quarter of 2026, and business investment has rebounded on oil and gas activity and machinery spending. Prime Minister Mark Carney's Liberals secured a parliamentary majority in April 2026, the first move from minority to majority between elections in Canada's history, giving the government a mandate to 2029. The Major Projects Office is fast-tracking projects including LNG Canada Phase 2 and the Darlington new nuclear project, and in October 2026 the West Coast Oil Pipeline, designed to carry about one million barrels a day to the Pacific, became the first project designated under the Building Canada Act.

Canada's main structural challenge is its trade relationship with the United States. In July 2026 the US declined to extend the Canada–US–Mexico Agreement (CUSMA), which remains in force until 2036 with annual reviews. Since 22 August 2026 the US has applied 50% tariffs under Section 338 to a range of Canadian goods, including dairy, alcoholic beverages and motor vehicles, alongside Section 232 tariffs on steel, aluminium, autos and lumber; Canada responded with counter-tariffs on about C$27.6 billion of US goods. CUSMA-qualifying goods remain exempt from the US Section 301 tariffs, and energy, critical minerals and potash are excluded from the Section 338 measures. Canada is diversifying actively, including a January 2026 agreement with China on electric vehicles and canola and a target of 50 million tonnes a year of LNG exports to Asia by 2030, creating opportunities in energy, minerals and new trade corridors.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
US tariffs and CUSMA uncertainty	US Section 338 tariffs of 50% from August 2026 and Section 232 tariffs affect manufacturing and food exports, and CUSMA now faces annual reviews	Verify CUSMA origin and exclusions, use Canadian remission orders extended to July 2027, and diversify to Europe and Asia
Investment Canada Act national-security review	Any investment can be reviewed on security grounds, with heightened scrutiny of state-owned investors, critical minerals and sensitive technologies; pre-closing notification for sensitive sectors is being introduced	Engage early with officials and counsel, offer undertakings where needed, and track the new filing regulations
Inflation and interest rates	Inflation reached 3.1% in September 2026 on higher energy prices, and the Bank of Canada raised its rate to 2.5% in October	Long-term inflation expectations remain anchored; fix financing early and include energy-cost scenarios in plans
Slower near-term growth	The Bank of Canada expects growth of 1% in 2026, as new US tariffs weigh on the fourth quarter, rising to 2% in 2027	Focus on sectors with domestic or non-US demand, such as energy, infrastructure, defence and minerals
Project approval timelines	Large resource and infrastructure projects have historically faced lengthy federal, provincial and Indigenous consultation processes	Use the Major Projects Office and Building Canada Act route, and build Indigenous partnership and equity into project design
Federal deficits	Budget 2026 projects a C$62.3 billion deficit, 1.8% of GDP, with deficits above C$50 billion for four more years	Federal debt of 39.9% of GDP remains moderate, and new borrowing is directed to capital investment

INVESTOR RISK NOTE

Canada offers investors a stable democracy, a strong legal system and a government with a clear parliamentary majority until 2029, together with record foreign investment in 2025. The principal risk is trade with the United States: 50% Section 338 tariffs, sector tariffs on steel, aluminium, autos and lumber, and annual CUSMA reviews create uncertainty for export-oriented manufacturers. Mitigation lies in confirming CUSMA origin, using remission orders, focusing on excluded sectors such as energy and critical minerals, and diversifying markets; Canada is pursuing new links with Europe and Asia. Inflation of 3.1% and the October rate rise to 2.5% raise borrowing costs, but long-term expectations are anchored. The Investment Canada Act applies heightened national-security scrutiny to state-owned investors, critical minerals and sensitive technologies, so early legal advice is essential, while investors from allied countries are routinely welcomed.

MARKET ACCESS

Canada is a WTO member and a party to CUSMA with the United States and Mexico, which remains in force until 2036. It also has free trade agreements with the European Union (CETA) and the Asia-Pacific through the CPTPP, giving access to markets across Europe and Asia, and in January 2026 agreed reduced tariffs with China on electric vehicles and canola. The United States remains by far its largest export market, especially for energy, autos and metals. Pacific ports at Vancouver, Prince Rupert and Kitimat connect Canada to Asia, and new projects such as the West Coast Oil Pipeline, LNG Canada Phase 2 and the Contrecoeur terminal will expand export capacity to markets beyond the United States.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Mark Carney)	Sets economic and trade strategy, including US negotiations and the nation-building projects agenda	Primary reference point for strategic direction and major projects
Invest in Canada	Federal investment promotion agency with an expanded mandate to work with the largest foreign investors and the Major Projects Office	Standard first point of contact for market entry
Major Projects Office (CEO Dawn Farrell)	Coordinates approvals and financing for projects of national interest from its Calgary headquarters	Key counterpart for large energy, mining and infrastructure projects
Bank of Canada (Governor Tiff Macklem)	Sets the policy rate, raised to 2.5% on 28 October 2026, and expects inflation to return to 2% by mid-2028	Reference for financing costs and the Canadian dollar
Department of Finance (Minister François-Philippe Champagne)	Leads the budget, tax policy and investment incentives, including the Productivity Mega Deduction	Counterpart on tax, fiscal and incentive matters
Innovation, Science and Economic Development Canada	Administers Investment Canada Act reviews, including national-security assessments	Essential for structuring acquisitions and sensitive-sector investments
Provincial governments and investment agencies	Control natural resources, permitting and many incentives within each province	Central partners for site selection and resource projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Canadian Chamber of Commerce, the Business Council of Canada and the Canadian Manufacturers and Exporters represent business nationally, while bilateral bodies such as the Canada-UK Chamber of Commerce and the American Chamber of Commerce in Canada support foreign investors. Invest in Canada works with provincial, territorial, Indigenous and municipal partners, and the Canada Infrastructure Bank and Export Development Canada provide co-financing and trade finance for qualifying projects. Indigenous-owned development corporations are increasingly important equity partners in resource and infrastructure projects, and foreign embassies' commercial sections in Ottawa offer introductions.

INVESTOR PROFILE BEST SUITED

Canada suits investors seeking a stable, rules-based base with resource depth: energy and LNG investors targeting new export capacity to Asia; mining and critical-minerals investors in Saskatchewan, British Columbia and the North; infrastructure, nuclear and power investors participating in nation-building projects; and technology, AI and financial-services firms drawing on Toronto and Montreal talent. Manufacturers serving the US market should plan carefully around current US tariffs and CUSMA origin rules. State-owned investors and those in sensitive sectors should expect national-security review.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest in Canada and provincial agencies
Open dialogue on sites, incentives and approvals, and on links with the Major Projects Office for larger projects.

STEP 2: Screen the investment under the Investment Canada Act
Check net-benefit thresholds and national-security sensitivity, and prepare for the coming pre-closing notification regime.

STEP 3: Model US tariff and CUSMA exposure
Confirm CUSMA origin, Section 338 and Section 232 exposure and remission eligibility, and build diversification into plans.

STEP 4: Use the new investment incentives
Assess the Productivity Mega Deduction and provincial programmes for capital-intensive investment.

STEP 5: Build Indigenous and community partnerships
Engage Indigenous nations and local communities early, including equity partnerships, for resource and infrastructure projects.